

GRAB HOLDINGS LIMITED

Southeast Asia's Super-App  
at a 52-Week Low

Equity Research Note · Communication Services — Internet Platforms · September 19, 2026

| Recommendation | 12-Mo. Price Target | Current Price                               | Implied Upside | Risk Rating |
|----------------|---------------------|---------------------------------------------|----------------|-------------|
| BUY            | \$6.00              | \$2.79<br><small>Sep 18, 2026 close</small> | +115%          | High        |

The market has priced Grab like a melting ice cube. The numbers say otherwise: 18 consecutive quarters of adjusted-EBITDA growth, the first full-year GAAP profit in company history (FY2025), guidance raised twice this year, and a net-cash balance sheet with \$5.0 billion in the bank. At \$2.79 the stock sits at its 52-week low, down 56% in a year, trading at 1.6x forward revenue and 8.8x forward adjusted EBITDA — roughly half the multiple of Uber and a fraction of DoorDash — despite growing revenue 22%+ and adjusted EBITDA 44–48%. The derating is real and partly earned: Indonesia capped ride-hailing commissions, management just wrote its largest-ever check (\$1.49 billion for BNPL player Atome), and Uber is about to own Grab's biggest delivery rival. But we see an asymmetric setup: a dominant regional platform (55% food-delivery share, 70%+ ride-hailing share in most markets) with a fintech business compounding at triple-digit rates, now valued as if the growth story were over. Our scenario-weighted DCF points to \$6.19; we set a \$6.00 target and rate the shares **BUY**. This is a high-risk call — regulation and capital allocation are the swing factors — sized accordingly.

|                |                 |                         |                    |
|----------------|-----------------|-------------------------|--------------------|
| Market cap     | ~\$11.4 bn      | Shares out.             | ~4.09 bn           |
| 52-week range  | \$2.81 – \$6.62 | 1-yr return             | -56%               |
| Net cash       | \$5.0 bn        | FY26E rev / adj. EBITDA | \$4.1 bn / \$730 m |
| EV / FY26E rev | ~1.6x           | EV / FY26E adj. EBITDA  | ~8.8x              |

Prices as of September 18, 2026 close. Financial figures from company releases (Q2 2026 reported Aug 4, 2026; FY2025 reported Feb 12, 2026). This note is an independent research-style analysis for informational purposes, not investment advice.

1. Investment thesis

**Dominant, defensible regional platform.** Grab is the #1 food-delivery platform in Southeast Asia (55% GMV share, Momentum Works 2025) and holds 70%+ ride-hailing share in most of its eight markets. The super-app structure — one user base across rides, food, groceries, payments and banking — creates cross-sell and data advantages that single-vertical rivals cannot easily replicate.

**Profitability inflection is real and accelerating.** Adjusted EBITDA has grown 18 quarters in a row; FY2025 delivered the first full-year GAAP profit (\$200m); adj. EBITDA margin expanded from 12.6% (Q3 2024) to 16.9% (Q2 2026). FY2026 guidance was raised twice and now calls for \$720–740m of adjusted EBITDA (+44–48%).

Fintech is the second growth engine. Financial Services revenue grew 59% YoY in Q2 2026; the gross loan book nearly tripled to \$2.3b; deposits hit \$2.5b across three digital banks; the segment is nearing adjusted-EBITDA breakeven. Management targets \$500m of FinSvcs adjusted EBITDA and a \$6b+ loan book by 2028.

Valuation disconnect. At 1.6x FY26E revenue and 8.8x FY26E adjusted EBITDA, Grab trades at a steep discount to Uber (2.4x / ~14x), DoorDash (4.1x / ~45–50x) and Sea (~24.5x EBITDA) despite comparable or faster growth. Our DCF (bear \$3.12 / base \$6.00 / bull \$9.65, weighted \$6.19) and SOTP (\$5.65) both support a \$6.00 target.

Catalyst path is visible. FinSvcs EBITDA inflection (expected H2 2026), Atome integration (close Q3 2027), continued buybacks (~\$900m remaining), and any easing of the Indonesia commission overhang could each re-rate the shares.

Risks are genuine — hence High risk, not a core holding. Indonesia's 8% commission cap, the \$1.49b Atome bet on BNPL credit, Uber's acquisition of foodpanda-owner Delivery Hero, and emerging-market FX/fuel volatility are all live. Size the position for a 30–40% drawdown scenario.

## 2. Company overview: what Grab actually does

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Grab Holdings (NASDAQ: GRAB), headquartered in Singapore and listed via SPAC in December 2021, is Southeast Asia's leading super-app across **eight markets**: Cambodia, Indonesia, Malaysia, Myanmar, the Philippines, Singapore, Thailand and Vietnam. It reports in three segments:

### On-Demand (core, ~87% of revenue). Two sub-verticals:

**Deliveries** — GrabFood, GrabMart, GrabExpress. Food delivery is the anchor; GrabMart covers groceries and quick-commerce; GrabExpress is on-demand logistics. Q2 2026: GMV \$4.25b, revenue \$531m (+21% YoY), segment adj. EBITDA \$96m. Revenue/GMV take rate ~12.5%. GrabAds — advertising sold to merchants on the platform — reached 1.7% of Deliveries GMV in early 2025 and is a growing, high-margin contributor.

**Mobility** — GrabCar, GrabBike and tiers. Ride-hailing across cars and two-wheelers, with premium, airport, and budget tiers (Saver/Priority) to segment demand. Q2 2026: GMV \$2.21b, revenue \$331m (+12% YoY), take rate ~15.0%, segment adj. EBITDA margin ~8.6% of GMV — the highest-margin on-demand vertical.

**Financial Services (~13% of revenue, growing ~60%).** GrabFin lending (PayLater/BNPL, driver and merchant loans), digital banks — GXS Bank (Singapore, JV with Singtel), GX Bank (Malaysia, JV with Kuok Group) and Superbank (Indonesia, consolidated June 2026) — plus GrabPay wallets and insurance. Q2 2026: revenue \$134m (+59% YoY), adj. EBITDA -\$15m (narrowing from -\$26m). The flywheel logic: 53.9m monthly transacting users generate proprietary behavioral data that feeds AI underwriting, enabling lending to thin-file borrowers traditional banks avoid.

**Enterprise / Other.** GrabAds (reported inside Deliveries economics) and small other revenue. Advertising is strategically important: it monetizes the same GMV twice — once via commission, once via ads — with minimal incremental cost.

**How it makes money:** commissions/take rates on every ride and delivery (10.9% of GMV was reinvested as incentives in Q2 2026, partly to support driver earnings amid elevated fuel costs), advertising, and net interest/lending margins. The model is asset-light: no vehicle fleet, no restaurant kitchens, no bank branches.

## 3. Financial review

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**Q2 2026 (reported August 4, 2026): beat-and-raise.** Revenue of \$997m (+22% YoY) was a touch light versus the \$1.00b consensus, but EPS of \$0.06 crushed the \$0.01 estimate, adjusted EBITDA of \$168m (+54%) beat, and management raised full-year guidance for the second time. GAAP profit of \$235m was flattered by a \$307m

one-off gain on consolidating Superbank — the underlying operating profit was \$19m.

| Q2 2026 metric            | Q2 2026         | Q2 2025         | YoY   |
|---------------------------|-----------------|-----------------|-------|
| Revenue                   | \$997 m         | \$819 m         | +22%  |
| On-Demand GMV             | \$6.46 bn       | \$5.35 bn       | +21%  |
| Monthly transacting users | 53.9 m          | 46.2 m          | +17%  |
| Adjusted EBITDA (margin)  | \$168 m (16.9%) | \$109 m (13.3%) | +54%  |
| GAAP profit for period    | \$235 m*        | \$20 m          | —     |
| Adjusted FCF (TTM)        | \$450 m         | —               | —     |
| Gross loan portfolio      | \$2,318 m       | \$781 m         | +197% |

\*Includes a \$307m one-off gain from the Superbank consolidation; operating profit was \$19m. Source: company Q2 2026 press release.

**FY2025: the year Grab turned profitable.** Revenue \$3,307m (+20%), first-ever full-year GAAP net profit of \$200m (vs –\$158m in 2024), adjusted EBITDA \$500m (+60%), adjusted free cash flow \$290m (+113%).

**Eight-quarter trend: growth with expanding margins.** Revenue has grown 17–24% every quarter; GMV growth accelerated from 15% to 24%; adjusted EBITDA has risen for 18 straight quarters.

| Quarter | Revenue | GMV       | MTUs   | Adj. EBITDA | GAAP profit |
|---------|---------|-----------|--------|-------------|-------------|
| Q3 2024 | \$716 m | \$4.70 bn | 42.0 m | \$90 m      | \$15 m      |
| Q4 2024 | \$764 m | \$5.03 bn | 43.9 m | \$97 m      | \$11 m      |
| Q1 2025 | \$773 m | \$4.93 bn | 44.5 m | \$106 m     | \$10 m      |
| Q2 2025 | \$819 m | \$5.35 bn | 46.2 m | \$109 m     | \$20 m      |
| Q3 2025 | \$873 m | \$5.77 bn | 47.7 m | \$136 m     | \$17 m      |
| Q4 2025 | \$906 m | \$6.10 bn | 50.5 m | \$148 m     | \$153 m*    |
| Q1 2026 | \$955 m | \$6.13 bn | 51.6 m | \$154 m     | \$120 m*    |
| Q2 2026 | \$997 m | \$6.46 bn | 53.9 m | \$168 m     | \$235 m*    |

\*GAAP profit is noisy — inflated by one-off gains (e.g., \$307m Superbank gain in Q2 2026). Adjusted EBITDA is the cleaner operating read. Source: company releases.

Quarterly revenue (navy, \$m, left scale) and adjusted EBITDA (green, \$m): eight quarters of growth on both lines. Source: company releases.

**Balance sheet: fortress, but about to be drawn down.** Gross cash liquidity was \$6.9b at March 31, 2026 with net cash of \$5.0b and a debt-to-equity ratio of ~0.06 — effectively unlevered. Pro forma for the \$1.49b Atome cash consideration (payable on close, expected Q3 2027) and the remaining ~\$900m of the authorized buyback, net cash falls toward ~\$2.6b: still comfortable, but the era of the ever-growing cash pile is ending as management pivots to offense.

## 4. Growth outlook and the 2028 targets

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**2026 guidance (raised twice; latest August 4, 2026):** revenue \$4.10–4.15b (+22–23% YoY) and adjusted EBITDA \$720–740m (+44–48%). The raise was driven by the Superbank consolidation and the Stash acquisition, with management noting the core business remains on track despite FX pressure.

**2028 targets (raised September 15, 2026 alongside the Atome deal):**

Adjusted EBITDA of \$1.7 billion (raised from \$1.5b) — more than doubling from 2026 guidance;

30%+ revenue CAGR from 2025 to 2028;

Financial Services adjusted EBITDA of \$500m by 2028;

Combined loan portfolio above \$6 billion by 2028 (already \$2.3b at Q2 2026, +197% YoY).

### What drives it:

**Digital banks scaling toward profitability.** Deposits of \$2.5b across GXS, GX Bank and Superbank (vs \$1.6b at end-2025), 7.4m deposit customers, 60–93% of whom are existing Grab users — the cross-sell engine working as designed. GXS's FY2025 net loss narrowed to S\$208m while its loan book tripled to S\$1b and expected-credit-loss rates improved from 6.8% to 4.6%. FinSvcs adjusted EBITDA (–\$15m in Q2) is expected to inflect positive in H2 2026.

**Atome (60% for \$1.49b cash, closing expected Q3 2027).** Grab's largest-ever acquisition adds ~25m BNPL users and a ready-made lending book, underpinning the raised 2028 targets. The market hated the price (–3.6% on announcement) on credit-risk and overpayment concerns — the key execution debate on the stock.

**GrabAds compounding.** Ad revenue hit 1.7% of Deliveries GMV in early 2025 (from 1.3% a year earlier) and continues to lift Deliveries revenue growth. This is structurally high-margin revenue layered on existing GMV.

**AI and autonomy.** A platform-wide 'intelligence layer' drives pricing, underwriting and driver productivity; AI underwriting is directly powering the lending scale-up. WeRide's autonomous shuttle Ai.R began public rides in Punggol, Singapore (April 2026) with commercial operations targeted for late 2026 — a long-dated call option on driver-cost deflation.

**Capital returns.** A new \$750m buyback was authorized in August 2026 (cumulative \$1.75b since 2024), with ~\$900m still to be executed within 12 months — meaningful support at ~8% of market cap.

## 5. Moat assessment and product evaluation

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Grab's moat is **regional scale + super-app density**, not technology. We rate it a **narrow moat**: leadership positions are durable (multi-year #1 shares, driver and merchant networks that took a decade to build) but contestable at the margin by well-funded rivals, and regulators can redraw the economics overnight (see Indonesia). Sources of the moat:

**Two-sided network effects:** 53.9m monthly users and millions of driver/merchants; liquidity (short wait times, wide restaurant coverage) is the product.

**Data flywheel in lending:** transaction history feeds proprietary underwriting that banks cannot replicate for thin-file borrowers.

**Cross-sell:** 60–93% of digibank depositors are existing Grab users — customer acquisition cost near zero versus standalone neobanks.

**Brand and habit:** 'Grab' is a verb in much of Southeast Asia; the app sits on the home screen.

### Product-by-product evaluation:

| Product                    | Position                                | Strengths                                                                 | Watch items                                            |
|----------------------------|-----------------------------------------|---------------------------------------------------------------------------|--------------------------------------------------------|
| <b>GrabFood</b>            | #1 SEA, 55% GMV share                   | Widest coverage; GrabAds monetization; duopoly in SG after Deliveroo exit | ShopeeFood now #2; Uber-owned foodpanda from 2027      |
| <b>GrabMart / Express</b>  | Leading quick-commerce                  | Leverages same driver fleet; grocery = higher frequency                   | Lower take rates than food; thin margins               |
| <b>Mobility (Car/Bike)</b> | 70%+ share most markets; ~50% Indonesia | Highest on-demand margins (~8.6% of GMV); tiered pricing                  | Indonesia 8% commission cap; fuel-cost pass-through    |
| <b>GrabFin / PayLater</b>  | Scaling fast                            | Loan book +197% YoY; AI underwriting; zero-CAC via app                    | Credit risk in downturn; Atome integration             |
| <b>Digital banks</b>       | Early, sub-scale vs Sea                 | Deposits \$2.5b; losses narrowing; ECL improving                          | Behind SeaBank/Monee (\$11.1b book); capital-intensive |
| <b>GrabAds</b>             | Early innings                           | 1.7% of Deliveries GMV and rising; ~100% incremental margin               | Small base; merchant ad-budget sensitivity             |

Net: the on-demand products are best-in-class regionally; fintech is the high-beta leg — larger upside, larger credit and execution risk. Grab's product suite is stronger than any single rival's, which is precisely the super-app thesis.

## 6. Competition

| Rival                       | Where it competes                                   | Threat level | Latest                                                                                                                                                 |
|-----------------------------|-----------------------------------------------------|--------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>GoTo (Gojek)</b>         | Indonesia rides + delivery; fintech                 | High         | #2 in Indonesia (~41.5% ride-hail GMV); fintech adj.-EBITDA positive; merger speculation perennial but unconfirmed                                     |
| <b>ShopeeFood (Sea Ltd)</b> | Food delivery region-wide; SeaBank/Monee in lending | High         | Overtook foodpanda as SEA #2 in delivery; Monee loan book \$11.1b — well ahead of Grab's digibanks                                                     |
| <b>foodpanda / Uber</b>     | Delivery in SG, MY, others                          | Rising       | Uber agreed to buy Delivery Hero for \$14.8b (Jul 2026) — Grab's biggest delivery rival gets a deep-pocketed owner; Uber already ~13% Grab shareholder |
| <b>Line Man Wongnai</b>     | Thailand delivery                                   | Medium       | Strong local #2 in Thailand; no verified 2026 share data                                                                                               |
| <b>Bolt / inDrive</b>       | Ride-hailing, price-led                             | Medium       | Undercut on price in select cities; limited regional scale                                                                                             |
| <b>GreenSM</b>              | Vietnam ride-hailing (EV fleet)                     | Medium       | >25% Vietnam share vs Grab's 62%                                                                                                                       |

The competitive temperature has cooled from the subsidy wars of 2018–2022 into 'affordability initiatives' and tiered pricing — better for industry margins. The two structural shifts to watch: (1) **Uber swallowing foodpanda's parent** creates a genuinely formidable delivery competitor from 2027, albeit one whose parent is also a major Grab shareholder with aligned incentives; (2) **Sea out-executing in fintech** — Monee's \$11.1b loan book and positive EBITDA set the benchmark Grab's digibanks are chasing.

## 7. Key risks

**Regulation (the #1 risk).** Indonesia's Presidential Regulation 27/2026 caps two-wheel ride-hailing commissions at 8% (from 20%) effective July 1, 2026, plus mandatory driver insurance; Maybank estimates a ~3–6% EBITDA hit, ~10% if extended to four-wheelers. Vietnam's regulator is probing fare-setting and drivers staged a September boycott. Driver-reclassification debates simmer region-wide. Regulators, not competitors, are the historic source of Grab's worst drawdowns.

**Atome capital allocation.** \$1.49b cash — ~13% of market cap — for 60% of a BNPL lender, at a moment the balance sheet was a key bull argument. If credit losses spike or synergies disappoint, the 'disciplined compounder' narrative breaks.

**Uber–Delivery Hero.** A combined \$236b-GMV behemoth could reignite delivery subsidies in Grab's most profitable markets (Singapore, Malaysia).

**Macro and FX.** The 2026 fuel-price shock (Strait of Hormuz) forced elevated driver incentives; a strong dollar and ~5% US yields compress EM growth multiples. Grab reports in USD but earns in rupiah, ringgit, baht and pesos.

**Execution on fintech.** Tripling a loan book in a year is how you discover your underwriting is wrong.

ECL rates are improving (6.8% → 4.6% at GXS), but a regional downturn would test the book.

## 8. Valuation: three lenses, one answer

**Lens 1 — DCF (primary).** We model 2026–2035 revenue growing from \$4.13b to \$14.8b (base), with adjusted free-cash-flow margins expanding from 11% to 18% as fintech scales and incentives normalize. Net cash is taken pro forma at \$3.5b (\$5.0b reported less the \$1.49b Atome consideration). WACC 11% base / 12% bear / 10% bull; terminal growth 3.5% / 2.5% / 4.0%.

| Scenario        | Key assumptions                                                                   | Implied EV | Implied price | Weight |
|-----------------|-----------------------------------------------------------------------------------|------------|---------------|--------|
| <b>Bear</b>     | Slower growth; ID cap spreads; Atome credit losses; FCF margin peaks 15%          | \$10.2 bn  | \$3.12        | 25%    |
| <b>Base</b>     | 2028 rev \$6.45b / adj. EBITDA ~\$1.68b (in line with mgmt \$1.7b); margin to 18% | \$21.0 bn  | \$6.00        | 50%    |
| <b>Bull</b>     | Fintech flywheel + Atome synergies; margin to 21%; possible consolidation         | \$36.0 bn  | \$9.65        | 25%    |
| <b>Weighted</b> | 25 / 50 / 25                                                                      |            | <b>\$6.19</b> |        |

**Lens 2 — peer multiples.** Grab is the cheapest name in its peer set on both sales and EBITDA, despite 22%+ revenue growth and 44–48% EBITDA growth — the market is pricing regulatory and execution risk, not the growth.

| Company     | EV / fwd revenue | EV / EBITDA | Comment                               |
|-------------|------------------|-------------|---------------------------------------|
| <b>Grab</b> | ~1.6x            | ~8.8x       | FY26E; cheapest in group              |
| Uber        | 2.4x             | ~14x        | Closest comp; global scale            |
| DoorDash    | 4.1x             | ~45–50x     | Premium for US growth + profitability |
| Sea Limited | —                | ~24.5x      | Fintech + e-commerce optionality      |
| GoTo        | 1.7x             | 13.1x       | ID-focused; similar discount          |
| Lyft        | 0.7x             | ~18x        | US #2; no growth premium              |

Multiples as of September 17–19, 2026 (FactSet via MarketWatch/TradingView; Maybank for Sea; multiples.vc for GoTo). A straight Uber-multiple re-rating (2.4x sales) would imply ~\$3.60 — the DCF premium reflects that Grab's EBITDA is growing 3x faster than Uber's from a depressed base.

**Lens 3 — sum of the parts (2028E).** On-Demand (Deliveries + Mobility) 2028E adj. EBITDA ~\$1.2b at 13x (between Uber and GoTo) = \$15.6b; Financial Services 2028E adj. EBITDA \$0.5b (mgmt target) at 8x (fintech-growth discount) = \$4.0b; pro-forma net cash \$3.5b. Total equity \$23.1b ÷ 4.09b shares = **\$5.65/share** — within 6% of our target.

**Target:** DCF-weighted \$6.19 and SOTP \$5.65 bracket our **\$6.00** 12-month target, implying **115% upside** from \$2.79. Street consensus averages \$6.01–\$6.11 (11 analysts: 8 Buy, 1 Strong Buy, 1 Hold, 1 Sell) — we are in line, though we note published targets look stale relative to the September price collapse.

## 9. Recommendation

We rate Grab **BUY** with a **\$6.00** 12-month price target (115% upside), **High risk**. The thesis in one line: the market is valuing a dominant, newly profitable regional platform with a triple-digit-growth fintech arm at distressed multiples because of regulatory headlines and one expensive acquisition — we think the earnings power wins.

**What gets us there (catalysts):** FinSvcs adjusted-EBITDA inflection in H2 2026; Q4/FY2026 results confirming the \$1.7b 2028 EBITDA trajectory; Atome closing cleanly in Q3 2027 with credit metrics intact; ~\$900m of buybacks executed; any softening of Indonesia's commission stance.

**What breaks the thesis:** commission caps spreading to four-wheelers or food delivery; Atome credit blowup; Uber reigniting a delivery price war; a disorderly EM FX/fuel shock. Any of these would push fair value toward our \$3.12 bear case — down ~12% from here on further bad news, which is why this is a starter-sized, high-risk position, not a core holding.

**Positioning:** for investors who can tolerate EM regulatory volatility, Grab offers venture-like upside (\$9.65 bull case, +246%) with a profitable, cash-generative core limiting the downside. Initiate at current levels; add on evidence that FinSvcs has turned EBITDA-positive or that Atome credit quality is holding.

## Appendix: sources and verification notes

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Company: Grab Q2 2026 press release (Aug 4, 2026); Q1 2026 release (May 5, 2026); Q4/FY2025 release (Feb 12, 2026); Atome acquisition press release (Sep 15, 2026); Q2 2026 earnings presentation; 6-K filings. Market data as of September 18, 2026 close. Press/analysis: Reuters (Indonesia commission cap Jun 2026; Uber–Delivery Hero Jul/Sep 2026; Atome Sep 2026); Morningstar/Dow Jones; Momentum Works 2025 (SEA food-delivery shares); ABI Research H1 2025 (ride-hail shares); Maybank research; FactSet multiples via MarketWatch/TradingView (Sep 17, 2026); MarketBeat consensus (Sep 17, 2026); Motley Fool (Sep 12, 2026).

Items we could not fully verify and excluded from the valuation: a reported CEO share sale on Sep 8, 2026 (single blog source, no SEC Form 4 found); the reported \$600m foodpanda-Taiwan agreement (closure unconfirmed); precise Vietnam probe details; 2026 share data for Line Man Wongnai, Bolt and inDrive. GAAP profit figures include one-off gains and should be read alongside adjusted EBITDA. This analysis was prepared September 19, 2026 for informational purposes only and is not investment advice; all forward-looking statements involve risk and uncertainty.